EXECUTIVE SUMMARY

1. Introduction

The Municipality of Pamplona, Cagayan was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class Municipality and situated in the northeastern coast of the Province of Cagayan with an area of 17,176 hectares.

Scope of Audit

The audit covered the accounts and operations of the Municipal Government of Pamplona, Cagayan for the year 2015 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Pamplona for the year ended December 31, 2015, with comparative figures for CY 2014, are as follows:

	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	P 185,203,687.36	P 168,936,694.98	P 16,266,992.38
Total Liabilities	58,155,727.25	51,687,714.29	6,468,012.96
Total Government Equity	127,047,950.11	117,248,980.69	9,798,969.42
Financial Performance			
Total Income	P 74,061,819.48	P 65,874,919.57	P 8,186,899.91
Total Expenses	50,618,449.32	45,437,888.63	5,180,560.69
Appropriations, Allotments and Obligations			
Appropriations	P 116,567,185.04	P 108,960,870.97	P 7,606,314.07
Allotments	116,567,185.04	108,960,870.97	7,606,314.07
Obligations	61,511,640.01	58,742,547.16	2,769,092.85

Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2015	2014	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 0.00	0.00	P 0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	6,050,000.00	0.00	6,050,000.00
Due from NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 6,050,000.00**	0.00	**P 6,050,000.00**
Fund Received from Other Agencies:			
Due to Other NGAs	P 8,346,320.00	P 8,179,010.50	P 167,309.50
Due to LGUs	250,000.00	0.00	250,000.00
Due to NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 8,596,320.00**	**P 8,179,010.50**	**P 417,309.50**

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Pamplona, Cagayan as of December 31, 2015 due to(a) the recorded balances of Property, Plant and Equipment (PPE) with a total value of P47,412,838.55 were doubtful due to the failure to conduct annual physical inventory; and (b) RPT/SET Receivables amounting to P33,135,484.74 could not be ascertained for lack of certified list of taxpayers and subsidiary ledgers indicating the corresponding amount due and collectibles.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P47,412,838.55 as of December 31, 2015 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

   We recommended that the Local Chief Executive create committee to conduct physical inventory of the properties of the municipality and to prepare a report

thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to COA Circular No. 92-386 dated October 20, 1992 and Section 122 of P. D. 1445.

2. **The Real Property Tax and Special Education Tax Receivables totaling P33,135,484.74 could not be ascertained for lack of certified list of taxpayers, indicating the corresponding amount due and collectible and the subsidiary ledgers, contrary to Section 20, Volume I of the New Government Accounting System (NGAS).**

   We reiterated our previous year's recommendation that management direct the concerned officials to:

   i. Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;

   ii. Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;

   iii. Maintain subsidiary ledger for each taxpayer.

3. **Collections were not deposited intact with the authorized depository bank resulting to a cash in local treasury balance of P452,569.40 as of December 31, 2015 contrary to Section 28 of COA Circular 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.**

   We recommended that the Municipal Treasurer deposit intact all his collections as well as collections turned over to him by the collectors with the authorized depository bank daily or not later than the next banking day pursuant to Sec. 28 of COA Circular 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002. Likewise, the Municipal Treasurer is prohibited from using his collections to grant vales and IOUs to officials and employees for personal as well as for payment of transactions.

4. **The validity and correctness of Other Receivables amounting to P763,664.00 which have been outstanding for several years, could not be ascertained due to the absence of pertinent records or documents to substantiate them contrary to Section 2 and 111(2) of P. D. 1445.**

We recommended that concerned officials exert efforts to document the dormant receivables of P763,664.00 to establish the validity and propriety of the account.Issue/send demand letters, if warranted, to enforce collection.

5. **The Municipality failed to fully implement existing rules and regulations pertaining to the granting, utilization and liquidation of cash advances of officials and employees of the LGU, resulting in a substantial balance of unliquidated cash advances amounting to P900,718.00 as at September 30, 2015.**

   We recommended that the Municipality comply with Section 89 of PD 1445 and the provisions of COA Circular 97-002 dated February 10, 1997 and ensure proper granting, utilization and liquidation of cash advances.

6. **The Municipality granted cash advance to an employee amounting to P375,900.00 for the procurement of MDRRM equipment instead of public bidding, in violation of Government Procurement Reform Act of 2003 (R.A. 9184). Moreover, Section 93 of PD 1445 requires that said transactions should be paid directly to suppliers.**

   We recommended that Management adopt public bidding in the procurement procurement of goods.Follow strictly the Revised Implementing Rules and regulations of the Government Procurement Reform Act of 2003. Stop the practice of procuring goods thru cash advances which is contrary to the provisions of RA 9184 and Section 93of PD 1445.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	

6. Status of Implementations of Prior Years' Audit Recommendations

Out of fifteen (15) audit recommendations in 2014 Annual Audit Report (AAR), eight (8) were fully implemented, four (4) were partially implemented, and three (3) were not implemented.

The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.